

ECONOMICS PAPER 2

(Mock Test 27)

Question-Answer Book

Time allowed: 1 hour 30 minutes
This paper must be answered in English

INSTRUCTIONS

- (1) After the announcement of the start of the examination, you should first write your Candidate Number in the space provided on Page 1 and stick barcode labels in the spaces provided on Pages 1, 3, 5, 7, 9, 11 and 13.
- (2) This paper consists of two sections, A and B. Answer ALL questions in sections A and B.
- (3) Write your answers in the space provided in this Question-Answer Book. Do not write in the margins. Answers written in the margins will not be marked.
- (4) Supplementary answer sheets will be supplied on request. Write your candidate number, mark the question number box and stick a barcode label on each sheet, and fasten them with string INSIDE this book.
- (5) No extra time will be given to candidates for sticking on the barcode labels or filling in the question number boxes after the 'Time is up' announcement.

Please stick the barcode label here.

Candidate Number							
------------------	--	--	--	--	--	--	--

Question No.	Marker's Use Only
	Marker No.
	Marks
1	
2	
3	
4	
5	
6	
7	
8	
9	
Total	

Section A (30 marks)

1. The Employees Retraining Board launched the Love Upgrading Special Scheme 5 in January 2022 to help the unemployed or underemployed upgrade their skills for self-enhancement. Participants of the scheme can enrol in vocational skills courses free of charge. The scheme also provides job referral and employment counselling to eligible participants.
 - (a) Explain the effect of the Love Upgrading Special Scheme 5 on the mobility of labour. (2 marks)
 - (b) Explain whether the vocational skills courses are free goods to the participants. (2 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

2. In January 2022, Hop Hing Group (stock code: 00047), which operates fast food chain Yoshinoya in northern China, was officially privatised and the listing of its shares on the Stock Exchange of Hong Kong was withdrawn.

- (a) To what type of business ownership did Hop Hing Group belong before privatisation? List **TWO** features of this type of business ownership. (3 marks)
- (b) State **TWO** possible advantages of privatisation for Hop Hing Group. (2 marks)
- (c) List **ONE** way of raising capital for Hop Hing Group after privatisation. (1 mark)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

3. Refer to the following information of two firms. They produce the same good.

	Firm A	Firm B
Output per day (units)	10,000	7,500
Total number of working hours	1,500	1,000
Percentage of output with quality below standard	5%	15%

- (a) Which firm has a higher average labour productivity? Explain. (3 marks)
- (b) With reference to the difference in the output quality of the two firms, identify and explain the payment methods that they might adopt respectively. (3 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

4. The following table shows the input-output relationship of a firm.

Machines (units)	Labour (units)	Total product (units)
1	10	25
2	10	51
3	10	79
4	10	95
5	10	110

State the law of diminishing marginal returns and explain whether the above data illustrate the law of diminishing marginal returns. (6 marks)

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

5. In recent years, many people in Hong Kong like keeping dogs. However, many housing estates do not allow residents to keep dogs.

Explain how keeping dogs in these housing estates may involve externality. (3 marks)

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

6. Mr. Cheung is a flower farmer who sells Chinese New Year flowers at a farm in Yuen Long.

Mr. Cheung decides to lower the price of his Chinese New Year flowers to attract customers to buy flowers at his farm. With the aid of a supply-demand diagram, explain under what condition Mr. Cheung's total revenue will increase. (5 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

END OF SECTION A

Answers written in the margins will not be marked.

Please stick the barcode label here.

Section B (40 marks)

7. Jessica and Cathy are waiters of a restaurant. They are paid at the same hourly rate and receive pay according to the number of hours they work.
- (a) To which type of production does the restaurant belong? Explain. (2 marks)
- (b) Explain whether Jessica and Cathy *necessarily* have the same opportunity cost of working as a waiter in the restaurant. (3 marks)
- (c) Is the expense of hiring Jessica and Cathy a fixed cost or a variable cost to the restaurant? Explain. (2 marks)
- (d) Give **ONE** reason to explain why waiters are paid at time rate instead of piece rate. (2 marks)

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

8. Suppose a government official proposes that the government should provide a per-unit subsidy for domestic agricultural products to support the development of domestic agriculture.
- (a) Explain how the provision of a per-unit subsidy for domestic agricultural products affects the average quality of domestic agricultural products sold. (4 marks)
- (b) Some citizens think that providing a per-unit subsidy for domestic agricultural products will affect efficiency. Explain their point of view with the aid of a diagram. (5 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

9. Income inequality is an issue of great public concern in Hong Kong.

Source A: Gini coefficient of Hong Kong in 2011 and 2016

	2011	2016
Gini coefficient based on original monthly household income	0.537	0.539
Gini coefficient based on post-tax post-social transfer monthly household income	0.475	0.473

(Source: Census and Statistics Department, HKSAR Government)

Source B: Median monthly wage of employees by age group in Hong Kong, May – June 2020

By age group	Median monthly wage (HKD)
15-24	13,600
25-34	19,500
35-44	21,400
45-54	18,900
≥ 55	15,400

(Source: Census and Statistics Department, HKSAR Government)

Source C: News excerpt about the government lowering the eligible age of the Government Public Transport Fare Concession Scheme for the Elderly and Eligible Persons with Disabilities

Starting from 27 February, 2022, the eligible age of the Government Public Transport Fare Concession Scheme for the Elderly and Eligible Persons with Disabilities (\$2 Scheme) will be lowered from 65 to 60. Eligible persons can travel on designated public transport modes and services at a concessionary fare of \$2 per trip, including MTR, franchised buses, ferries, minibuses, trams and kaitos. Residents' services (居民巴士) are not included.

The government reimburses the Public Transport Operators the actual applicable fares charged by them minus the \$2 per trip paid by an eligible beneficiary on an accountable basis.

(Source: various newspapers)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Source D: Views of different stakeholders on the \$2 Scheme

 A government official	Many people aged over 60 are still employed. The \$2 Scheme can encourage employment.
 A social worker	The \$2 Scheme can help elderly people reduce their home-to-work transport costs.
 A low-income elder	I go out more after I became eligible for the \$2 Scheme.

- (a) Refer to Source A. Describe the income distribution trend between 2011 and 2016 as reflected by the Gini coefficients based on original monthly household income. Explain whether the government's taxes and social transfers are effective in reducing income inequality. (2 marks)
- (b) Suggest **ONE** possible reason to explain the difference in the median monthly wage between employees aged 55 or over and those aged 25-54 as shown in Source B. (2 marks)
- (c) Refer to Sources C and D. Explain the behaviour of the low-income elder in Source D. (2 marks)
- (d) Refer to Source C. With the aid of a demand-supply diagram, explain how the lowering of the eligible age of the \$2 Scheme will affect the number of passengers of residents' services. (5 marks)

For part (e), candidates are required to present their answer in essay form. Criteria for marking will include the use of sources and economic theories, relevant content, logical presentation and clarity of expression.

- (e) With reference to the above sources and your own knowledge in Economics, discuss the effects of lowering the eligible age of the \$2 Scheme on Hong Kong, including:
- efficiency,
 - Gini coefficient based on post-tax post-social transfer monthly household income, and
 - other economic variable(s).
- (11 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

END OF PAPER

Answers written in the margins will not be marked.